GENERIC EFFECTIVE RATE · AUDIT WORKSHEET

Five GER Terms Decide Whether Your Guarantee Applies. *The PBM Controls Four.*

Three audit passes. One GER methodology. One actual performance number.

> This handout decodes the five GER terms: calculation methodology, exclusion list, multi-source vs. single-source treatment, MAC list update frequency, and remediation language. The GER number on the quarterly report is rarely calculated against the same methodology the contract guarantee names. The variance is rarely flagged by the PBM. The remediation is in the contract; the trigger is the audit.

01 Pull the actual GER from your claims data

Open your most recent quarterly report. Find the GER calculation. Verify the formula matches the contract's GER methodology clause: usually total generic ingredient cost as a percentage discount off AWP, with specific exclusions named.

If the report's GER is calculated differently than the contract methodology, the reported number is not the contracted number.

02 Compare actual GER to the guarantee

Your contract names a GER guarantee. Calculate the gap between actual GER and guarantee. If actual is below guarantee, the contract typically requires remediation. Many PBMs do not flag GER misses on their own.

03 Audit the exclusion list against your top 25 generic claims

Open the GER methodology clause and find the exclusion list. Compare to your top 25 generic claims. If high-volume generics are sitting in the exclusion list, the contracted GER guarantee applies to a smaller portion of your actual generic spend over time.

04 The Pattern PBS Sees Most Often

> **Across hundreds of PBM contract reviews and audits annually at PBS:** GER guarantee misses go unreconciled on most plans because the plan sponsor never calculates the comparison. The remediation clause is in the contract; the trigger is the audit.

05 Paste-Ready: Send to Your Broker or PBM

GER AUDIT WORKSHEET

```
Quarter ......................... [Q1 / Q2 / Q3 / Q4 · YYYY]

Contract guarantee (% off AWP) ............... ____%
Actual GER (this quarter) .................... ____%
Gap (Actual - Guarantee) ..................... ____%
  • Negative gap = remediation owed
  • Methodology must match contract for comparison

Exclusion list audit:
  Drugs in top 25 generic spend that are excluded
  from the guarantee calculation:
    1. _______________________________
    2. _______________________________
    3. _______________________________
  Year-over-year change in exclusion list:
    Items added: ____
    Items removed: ____

Remediation request (if gap is negative):
  Cite contract section: § ___
  Dollar magnitude of gap: $______
  Remediation type: cash true-up / credit / TBD
```

06 This Quarter's Action Plan

STEP 1 · THIS WEEK

Pull the GER methodology clause + actual GER

Verify formulas match. If not, the reported GER is not the contracted GER.

STEP 2 · WEEK 2

Calculate gap and document magnitude

Use the worksheet above. Document with date range and dollar impact.

STEP 3 · WEEK 3

Audit exclusion list against top 25 generics

Identify drift. Year-over-year exclusion-list growth shrinks the guarantee's coverage.

STEP 4 · AT NEXT QUARTERLY REVIEW

Bring the gap notification in writing

Mid-year gap notification beats year-end. Document the PBM response.